

Outstanding performance on all the counts !!!

The bank delivered outstanding performance, PAT grew by 50% yoy to INR 690.5 bn led by strong asset growth, stable margins and no MTM loss. Advances grew at strong pace of 21.7% yoy led retail, business banking & SME loans. In our opinion, ICICI Bank is giving tough competition to HDFC Bank & other large cap banks in corporates lending segment especially AA- & above rated assets. Within one quarter itself, AA- & above rated loans share of the bank has improved from 36.1% in Q4 to 47.1% in Q1FY23. Reported margins were stable on sequential basis at 4%, higher yields in retail segments was compensated by the lower yielding & high rated corporate book asset growth for the quarter. On the other income side, the bank did not have any MTM loss on bond book as it has low duration AFS investment book. Gross additions were at INR 58.3 bn in Q1 vs. INR 42 bn in Q4 last quarter, of this >85% has come from retail, rural & business banking loans. Retain BUY with TP of INR 1012

- Quality credit growth** – In our opinion, ICICI Bank is giving tough competition to HDFC Bank & other large cap banks in corporates lending segment especially AA- & above rated assets. Within one quarter itself, AA- & above rated loans share of the bank has improved from 36.1% in Q4 to 47.1% in Q1FY23. Competitive edge for the bank is basically coming from lower deposit cost, which is one of lowest in the industry. Advances grew at strong pace of 21.7% yoy led retail, business banking & SME loans. Within retail loans, growth was strong in mortgages (22% yoy, 63.8% share), personal loans (38.2% yoy, 14% share) and credit cards (63.3% yoy, 5.9% share).

Margins – Reported margins were stable on sequential basis at 4% despite the fact that there was higher growth in high yielding retail segments like credit cards and personal loans and hike in EBLR rates by 50 bps in June 2022. last month In our opinion, higher yields in retail segments was compensated by the lower yielding & high rated corporate book asset growth for the quarter.

Financial Summary

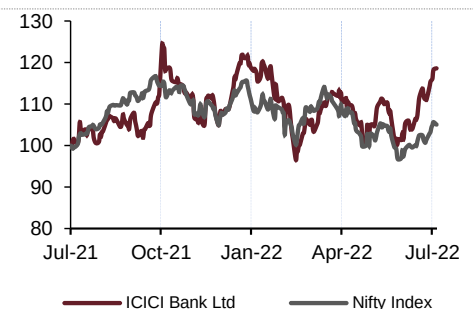
(Rs.mn)	FY21	FY22	FY23e	FY24e	FY25e
PAT	1,61,927	2,33,395	2,83,198	3,40,029	3,73,321
yoy (%)	101.9	44.1	21.3	20.1	9.8
BV (Rs)	213	245	271	319	371
ABV (Rs)	196	235	259	304	356
P/ABV (x)	4.1	3.4	3.1	2.6	2.2
ROE (%)	12.3	14.7	15.8	16.6	15.6
ROA (%)	1.4	1.8	1.9	2.0	1.9
Gross NPAs (%)	5.6	3.9	3.4	3.3	3.2
PCR (%)	77.6	79.5	75.5	74.1	75.5

Source: Company, Dalal & Broacha Research

Rating	TP (Rs)	Up/Dn (%)
BUY	1,012	26

Market data

Current price	Rs	803
Market Cap (Rs.Bn)	(Rs Bn)	5,583
Market Cap (US\$ Mn)	(US\$ Mn)	69,915
Face Value	Rs	2
52 Weeks High/Low	Rs	867 / 642
Average Daily Volume	('000)	12,708
BSE Code		532174
Bloomberg		ICICIBK.IN
Source: Bloomberg		

One Year Performance


Source: Bloomberg

% Shareholding	Jun-22	Mar-22
Promoters	-	-
Public	100	100
Total	100	100

Source: Bloomberg

Anusha Raheja
+91 22 6714449

anusha.raheja@dalal-broacha.com

Full impact of increase in lending rates will get reflected in coming quarters. We expect full year FY23 margins to be at 4.2% vs. 3.9% in FY22.

- **No MTM loss in Q1** - The bank did not have any MTM loss on bond book as it has low duration AFS investment book. The bank did not gave details on profits or quantum of AFS portfolio.
- **Opex** - During the quarter, opex grew at higher rates of 25% yoy leading to cost to income ratio shooting up to 42.3% from 40.6% in Q4 last quarter. The bank added 7200 employees & 114 branches during the quarter. Allotment of additional ESoPs, employee promotions added to higher salaries cost (20% yoy). Total branch network stands at 5534 branches & 13379 ATMs.

Fee income growth negative - Core fee income growth in Q1 witnessed negative growth of 11% yoy while total other income growth was subdued at meagre 2.5%. One of the reasons, in our view, could be the bank is charging less to customers in order to retain its market share in this competitive landscape.

- **Asset quality** - Gross additions were at INR 58.3 bn in Q1 vs. INR 42 bn in Q4 last quarter, of this >85% has come from retail, rural & business banking loans. Gross slippages from kisan credit card portfolio were at INR 7.55 bn vs. INR 9.6 bn in Q1FY22. In % terms, gross NPLs stood at 3.4% vs. 3.6% in Q4 last quarter while PCR remains strong at 80% levels. The bank sees provisions to core operating profit would be less than 25% for full year FY23.
- **Contingent provisions** - The bank added INR 10.5 bn to its contingent provisions buffer taking total outstanding to INR 85 bn (0.9% of total advances). Such provisions have been created due to global macro-economic risks and which can be utilised in future without burdening the P&L.

Valuations

ICICI Bank remains our top pick in banking space. Positive drivers to its growth & income are here to stay for long term, in our view. We like the management current strategy to add quality on its balance-sheet without much changing the return profile. ICICI Bank is gaining market share in across retail & corporate segments, also right digital strategy is aiding to its business growth. Currently, it is trading at 3.1x FY23e ABV and 2.6x FY24e ABV. **Retain BUY with TP of 1,012 (upside of 26% from current levels)**

Sum of the part valuations

	Shareholding of ICICI Bank	Valuation Per share	Valuation Criteria
Value of banking business (1)		853	2.8x FY24e ABV of Rs.
Subsidiaries			
ICICI Pru Life	51.3%	62	2x FY24e EV
ICICI Lombard	48.1%	52	35x FY24e PAT of Rs21.5 bn
ICICI AMC	30.0	42	30x FY24e PAT of Rs19.2 bn
ICICI Securities	74.9%	25	10x FY24e PAT of Rs23.3 bn
Home Finance	100.0%	2	1x FY24e ABV of Rs16.9 bn
Overseas subsidiaries		3	0.5x current FY22 BV
Total of subsidiaries		187	
Less: 15% holding co. discount		28	
Sub value post discount		159	
Total of (1) + (2)		1012	
CMP (Rs)		800	
Upside		26.5	

Source: Company, Dalal & Broacha Research

Quarterly Financials

(Rs in Mn)	Q1FY23	Q1FY22	yoy (%)	Q4FY22	qoq (%)	FY22	FY21	yoy (%)
Interest earned	236715.4	203834.1	16.1	226749.0	4.4	863745.5	791182.7	9.2
-Interest/discount on advances/bills	176343.2	149845.8	17.7	168766.8	4.5	638335.6	572888.1	11.4
-Income on investments	45817.8	40415.1	13.4	42193.9	8.6	164092.7	165397.8	-0.8
-Interest on bal. with RBI	4813.8	1407.7	242.0	6129.8	-21.5	15608.3	16319.1	-4.4
-Others	9740.6	12165.5	-19.9	9658.5	0.9	45708.9	36577.7	25.0
Interest expenses	104615.2	94476.5	10.7	100703.4	3.9	389084.5	401288.4	-3.0
Net Interest Income (NII)	132100.2	109357.6	20.8	126045.6	4.8	474661.0	389894.3	21.7
Other Income	46652.0	39958.6	16.8	47374.2	-1.5	185175.3	189685.3	-2.4
Total income	178752.2	149316.2	19.7	173419.8	3.1	659836.3	579579.6	13.8
Operating expenses	75663.3	60372.2	25.3	70490.4	7.3	267333.2	215608.3	24.0
-Employee cost	28492.1	23743.9	20.0	24289.3	17.3	96727.5	80917.8	19.5
-Other operating expenses	47171.2	36628.3	28.8	46201.1	2.1	170605.7	134690.5	26.7
Operating profit	103088.9	88944.0	15.9	102929.4	0.2	392503.1	363971.3	7.8
Provision for contingencies	11438.2	28516.9	-59.9	10689.5	7.0	86414.2	162144.1	-46.7
PBT	91650.7	60427.1	51.7	92239.9	-0.6	306088.9	201827.2	51.7
Provision for taxes	22601.3	14266.9	58.4	22052.8	2.5	72694.0	39900.4	82.2
Net profit	69049.4	46160.2	49.6	70187.1	-1.6	233394.9	161926.8	44.1
Equity	13914.8	13852.2	0.5	13899.7	0.1	13914.8	13852.2	0.5
EPS	49.62	33.32	48.9	50.50	-1.7	167.73	116.90	43.5
Ratios (%)								
Int. exp/Int earned (%)	44.2	46.3	-	44.4	-	45.0	50.7	-
Cost/Income ratio (%)	42.3	40.4	-	40.6	-	40.5	37.2	-
Gross NPAs (Rs)	331631.5	431482.8	-23.1	339195.2	-2.2	331631.5	431482.8	-23.1
Net NPAs (Rs)	66561.5	93058.3	-28.5	69608.9	-4.4	66561.5	93058.3	-28.5
Gross NPAs (%)	3.41	5.15	-	3.60	-	3.4	5.2	-
Net NPAs (%)	0.70	1.2	-	0.8	-	0.7	1.2	-
ROA (%)	2.0	1.5	-	2.1	-	1.5	1.5	-
CAR (%)	18.0	18.7	-	19.2	-	18.0	18.7	-
Balance Sheet (Rs.mn)								
Sources of Funds								
Capital	13,915	13,852	0.5	13,900	0.1	12,922	12,872	0.4
Reserves and Surplus	10,93,138	10,40,803	5.0	10,91,042	0.2	10,93,138	10,40,803	5.0
Deposits	69,62,730	55,86,689	24.6	66,07,318	5.4	69,62,730	55,86,689	24.6
Advances	61,33,587	54,44,866	12.6	59,24,154	3.5	61,33,587	54,44,866	12.6

Source: Company, Dalal & Broacha Research

Financial

Profit & Loss Statement (Rs. Mn)	FY21	FY22	FY23e	FY24e	FY25e
INTEREST EARNED	7,91,183	8,63,746	10,70,541	12,76,441	14,88,964
Interest/Discount on advances/Bills	5,72,888	6,38,336	7,84,561	9,52,218	11,22,924
Income from Investment	1,65,398	1,64,093	2,18,145	2,49,897	2,85,865
Interest on Balances with RBI & Others	16,319	15,608	17,554	19,018	19,336
Others	36,578	45,709	50,280	55,308	60,839
INTEREST EXPENDED	4,01,288	3,89,085	4,67,998	5,58,937	6,64,184
Interest on Deposits	3,32,563	3,00,481	3,58,484	4,27,401	5,07,324
Interest on RBI/Inter-Bank Borrowings	6,762	8,000	9,000	10,000	12,000
Others	61,963	80,603	1,00,514	1,21,536	1,44,860
Net Interest Income (NII)	3,89,894	4,74,661	6,02,543	7,17,504	8,24,779
OTHER INCOME	1,89,685	1,85,175	1,95,613	2,21,326	2,49,331
TOTAL INCOME	5,79,580	6,59,836	7,98,155	9,38,830	10,74,111
Payment to and provisions for employees	80,918	96,730	1,10,272	1,24,608	1,43,299
Operating Expenses excluding employees	1,34,691	1,70,603	2,04,724	2,35,432	2,87,228
OPERATING EXPENSES	2,15,608	2,67,333	3,14,996	3,60,040	4,30,526
OPERATING PROFIT	3,63,971	3,92,503	4,83,159	5,78,790	6,43,584
PROVISIONS	1,62,144	86,414	1,11,995	1,33,143	1,54,304
Provision for Non Performing Assets	1,07,991	85,664	1,00,898	1,18,002	1,37,208
Profit Before Tax (PBT)	2,01,827	3,06,089	3,71,164	4,45,647	4,89,281
PROVISIONS FOR TAXES	39,900	72,694	87,966	1,05,618	1,15,960
PAT	1,61,927	2,33,395	2,83,198	3,40,029	3,73,321
(% change)	102	44	21	20	10
EPS	23	34	41	49	54
Total Paid-Up Capital	13,834	13,900	13,900	13,900	13,900

Balance Sheet (Rs.mn)	FY21	FY22	FY23e	FY24e	FY25e
Application of funds					
Cash & bank balances	4,60,312	6,01,208	7,36,287	8,91,349	10,81,077
Bal. with banks and money at call & short	8,70,971	10,77,015	11,17,258	11,20,160	11,54,685
Advances	73,37,291	85,90,200	1,00,89,832	1,18,00,245	1,37,20,762
Investments	28,12,865	31,02,410	33,61,154	37,78,761	42,73,764
Fixed Assets	88,776	93,738	1,00,300	1,05,315	1,11,634
Other Assets	7,34,112	6,48,406	5,83,561	5,54,383	5,37,752
TOTAL ASSETS	1,23,04,327	1,41,12,977	1,59,88,392	1,82,50,214	2,08,79,673
Sources of funds					
Total Paid-Up Capital	13,834	13,900	13,900	13,900	13,900
RESERVES & SURPLUS	14,61,227	16,88,556	18,70,184	22,01,838	25,66,785
ESOPs	31	2,664	2,664	2,664	2,664
DEPOSITS	93,25,222	1,06,45,716	1,20,47,327	1,35,73,590	1,53,98,347
BORROWINGS	9,16,310	10,72,314	12,25,144	14,75,652	17,43,457
OTHER LIABILITIES & PROVISIONS	5,87,704	6,89,828	8,29,173	9,82,570	11,54,520
TOTAL LIABILITIES	1,23,04,327	1,41,12,977	1,59,88,392	1,82,50,214	2,08,79,673

Source: Company, Dalal & Broach Research

Ratio Analysis

(A) Efficiency Ratios (%)	FY21	FY22	FY23e	FY24e	FY25e
Int. exp/Int. earned	50.7	45.0	43.7	43.8	44.6
NII / Total Income	67.3	71.9	75.5	76.4	76.8
Other income / Total Income	32.7	28.1	24.5	23.6	23.2
Fee income / Other income	56.3	63.6	69.2	69.1	69.3
Fee income / Total Income	18.4	17.8	17.0	16.3	16.1
Cost / Income	37.2	40.5	39.5	38.3	40.1
Cost/Income (exluding trading gains)	40.8	42.4	40.3	39.1	40.8
C-D ratio	78.7	80.7	83.8	86.9	89.1
I-D ratio	30.2	29.1	27.9	27.8	27.8
Loan / Assets ratio	59.6	60.9	63.1	64.7	65.7
Deposits / Assets ratio	75.8	75.4	75.4	74.4	73.7
CASA / Total Deposits	46.3	48.7	50.6	52.2	53.6
B) Spreads (%)	FY21	FY22	FY23e	FY24e	FY25e
Yield on Assets	7.4	7.0	7.5	7.8	7.9
Yield on Advances	8.3	8.0	8.4	8.7	8.8
Yield on Investments	6.2	5.5	6.8	7.0	7.1
Cost of Funds	4.1	3.5	3.7	3.9	4.1
Cost of Deposits	3.9	3.0	3.2	3.3	3.5
Cost of Earning Assets	3.7	3.2	3.3	3.4	3.5
Net Interest Spread	3.3	3.5	3.8	3.9	3.8
Net Interest Margin	3.6	3.8	4.2	4.4	4.4
C) Solvency	FY21	FY22	FY23e	FY24e	FY25e
Gross NPAs (Rs)	4,13,730	3,39,200	3,47,835	3,84,264	4,42,963
Net NPAs (Rs)	1,18,565	69,609	85,089	99,661	1,08,375
Provisions (Rs mn)	3,21,131	2,69,591	2,62,746	2,84,603	3,34,588
Gross NPAs / Gross Advances (%)	5.6	3.9	3.4	3.3	3.2
Net NPAs / Net Advances (%)	1.6	0.8	0.8	0.8	0.8
PCR (%)	77.6	79.5	75.5	74.1	75.5
<i>Delinquency rate(%)</i>	2.5	2.6	2.8	2.9	3.0
Credit cost (%) (incl NPA provisions)	1.5	1.0	1.0	1.0	1.0

D) Measures of Investment	FY21	FY22	FY23e	FY24e	FY25e
EPS (Rs)	23.4	33.6	40.7	48.9	53.7
BV (Rs) (adjusted for revaluation reserv	213.2	245.0	271.1	318.8	371.3
Adjusted BV (Rs) (adjusted for revaluati	196.1	234.9	258.9	304.5	355.7
DPS (Rs)	2.0	5.0	6.0	7.0	8.0
Avg. ROE (%)	12.3	14.7	15.8	16.6	15.6
Avg. ROA (%)	1.4	1.8	1.9	2.0	1.9
PAT / Avg. RWA (%)	2.0	2.7	6.2	51.5	56.6
Pre-tax ROA (%)	1.7	2.3	2.5	2.6	2.5
Pre-provisioning operating ROA (%)	3.1	3.0	3.2	3.4	3.3
Pre-provisioning operating ROE (%)	27.6	24.7	26.9	28.2	26.8
P/E (x)	34.2	23.8	19.6	16.4	14.9
P/BV (x)	3.8	3.3	3.0	2.5	2.2
P/ABV (x)	4.08	3.41	3.09	2.63	2.25
Dividend yield (x)	0.3	0.6	0.8	0.9	1.0
Dividend Payout ratio (%)	8.5	14.9	14.7	14.3	14.9
Effective tax rate (%)	19.8	23.7	23.7	23.7	23.7
Leverage (x)	8.8	8.3	8.4	8.4	8.2
E) Breakdown of ROA (%)	FY21	FY22	FY23e	FY24e	FY25e
Interest Income	6.8	6.5	7.1	7.5	7.6
Interest expenses	3.4	2.9	3.1	3.3	3.4
NII/avg assets	3.3	3.6	4.0	4.2	4.2
Non-NII/avg. assets	1.6	1.4	1.3	1.3	1.3
Total Income	5.0	5.0	5.3	5.5	5.5
Operating exp/avg. assets	1.9	2.0	2.1	2.1	2.2
Operating profit/avg assets	3.1	3.0	3.2	3.4	3.3
Provisions/avg. assets	1.4	0.7	0.7	0.8	0.8
PBT/avg. assets	1.7	2.3	2.5	2.6	2.5
Tax/avg. assets	0.3	0.6	0.6	0.6	0.6
PAT/avg. assets	1.4	1.8	1.9	2.0	1.9
Leverage	8.3	8.3	8.5	8.2	8.1
F) Growth Rates (%)	FY21	FY22	FY23e	FY24e	FY25e
Interest Income	5.6	9.2	23.9	19.2	16.6
Interest Expenses	(3.4)	(3.0)	20.3	19.4	18.8
NII	16.9	21.7	26.9	19.1	15.0
Other Income	15.3	(2.4)	5.6	13.1	12.7
Total Income	16.4	13.8	21.0	17.6	14.4
Operating Income	29.1	7.8	23.1	19.8	11.2
Net Profit	101.9	44.1	21.3	20.1	9.8
Deposits	21.0	14.2	13.2	12.7	13.4
Advances	13.7	17.1	17.5	17.0	16.3

Source: Company, Dalal & Broach Research

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Name	Designation	E-mail	Phone	Sector
Mr Kunal Bhatia	Head of Research	kunal.bhatia@dalal-broacha.com	022-67141442	Retail FMCG Logistics
Mr Mayank Babla	Sr. Analyst	mayank.babala@dalal-broacha.com	022-67141412	IT Telecom Media
Ms. Anusha Raheja	Analyst	anusha.raheja@dalal-broacha.com	022-67141449	BFSI
Mr. Bhavya Gandhi	Associate	bhavya.gandhi@dalal-broacha.com	022-67141486	Midcaps
Mr. Miraj Shah	Associate	miraj.shah@dalal-broacha.com	022-67141489	FMCG Retail
Mr. Harsh Shah	Associate	Harsh.shah@dalal-broacha.com	022-67141496	Midcaps

Address: - 508, Maker Chambers V, 221 Nariman Point, Mumbai 400 021.

Tel: 91-22- 2282 2992 | E-mail: equity.research@dalal-broacha.com